

PURCHASE			
Max LTV	Max Loan Amount	Max Ratios	Mortgage/Rental History
MINIMUM FICO 500			
90.00%	1-4 units — per FHA max county limits	AUS Accept: 31%/43% • Manual: 31%/43%	0x30 past 12 months
MINIMUM FICO 580			
96.50%	1-4 units — per FHA max county limits	AUS Accept: 31%/43%* • Manual: 31%/43%*	0x30 past 12 months
MINIMUM FICO 641			
96.50%	1-4 units — per FHA max county limits	AUS Accept: per AUS • Manual: 31%/43%*	Evaluated by AUS**
*All loans with FICO ≤ 640 must meet manual underwriting guidelines. For manually underwritten loans with a minimum 580 FICO, DTI may exceed 31%/43% with compensating factors documented in the file. See AUS and Debt Ratio sections.			
**See Mortgage/Rental History section for additional information.			

NON-ARM'S LENGTH (IDENTITY OF INTEREST) TRANSACTION			
Max LTV	Max Loan Amount	Max Ratios	Mortgage/Rental History
MINIMUM FICO 500			
85.00%	1-4 units — per FHA max county limits	AUS Accept: 31%/43%* • Manual: 31%/43%*	0x30 past 12 months
MINIMUM FICO 641			
85.00%	1-4 units — per FHA max county limits	AUS Accept: per AUS • Manual: 31%/43%*	Evaluated by AUS**
*DTI may exceed 31%/43% with minimum 580 FICO, compensating factors documented in the file, and manual underwrite.			

RATE/TERM REFINANCE (NON-STREAMLINED)			
Max LTV/CLTV	Max Loan Amount	Max Ratios	Mortgage/Rental History
MINIMUM FICO 500			
90.00%	1-4 units — per FHA max county limits	AUS Accept: 31%/43% • Manual: 31%/43%	0x30 past 12 months
MINIMUM FICO 580			
97.75%***	1-4 units — per FHA max county limits	AUS Accept: 31%/43%* • Manual: 31%/43%*	0x30 past 12 months
MINIMUM FICO 641			
97.75%***	1-4 units — per FHA max county limits	AUS Accept: per AUS • Manual: 31%/43%*	Evaluated by AUS**
***See guidelines for LTV restrictions when the subject property has not been occupied by the borrower for the most recent 12 months.			

CASH-OUT REFINANCE			
Max LTV/CLTV	Max Loan Amount	Max Ratios	Mortgage/Rental History
MINIMUM FICO 500			
80.00%	1-4 units — per FHA max county limits	AUS Accept: 31%/43%* • Manual: 31%/43%*	Ox30 past 12 months
*All loans with FICO ≤ 640 must meet manual underwriting guidelines. For manually underwritten loans, DTI may exceed 31%/43% with minimum 580 FICO and compensating factors documented in the file.			

MAXIMUM LOAN AMOUNTS	
Continental U.S.	Per FHA loan limits: lowest maximum ("floor") for all loan amounts, highest maximum ("ceiling") for conforming loan amounts, and highest maximum ("ceiling") for high balance loan amounts.
Maximum Loan Amt (Base)	Max base loan amount cannot exceed the FHA statutory mortgage limits for each county; under no circumstances will a county's limit be less than the "floor" or greater than the "ceiling" as outlined in HUD 4000.1.

COLLATERAL	
Eligible Collateral	Owner occupied only. 1-4 units, PUDs, FHA-approved condominium projects, land contracts, manufactured homes (minimum double-wide) that follow the manufactured housing requirements below.
Ineligible Collateral	Mobile homes; co-ops; single-wide manufactured homes; FHA secondary residences; houseboats; commercial or industrial zoned properties; mixed-use with residential building use less than 51%; properties encumbered with PACE or HERO obligations; state-approved medical marijuana producing properties; working farms, ranches, or orchards; construction-to-permanent; properties in the area of Wrightwood, CA; properties containing more than one manufactured home unless classified as an ADU by the appraiser; properties within designated Coastal Barrier Resource System (BRS) areas; properties on Tribal Lands (Section 248), Hawaiian properties in Lava Zones 1 and 2, Native Hawaiian Housing Loan Guarantee Program (Section 184A); properties with sink holes; wastewater stabilization ponds/lagoons; individual water purification systems required for safe drinking water; deed-restricted properties; shared lots (including condominiums) with undivided interests; time shares; unimproved land; and any other ineligible property per HUD Handbook 4000.1.
Condos	Must be a current FHA-approved condominium complex meeting all HUD requirements (51% occupancy, 15% delinquencies). All condos and attached PUDs require 100% walls-in HO6 coverage. Stick-built site condos do not require FHA HRAP/DELRAP approval; manufactured condos must have FHA HRAP approval.
Manufactured Housing	Permanently affixed to the foundation, built on or after June 15, 1976, meeting all HUD requirements. Single-wides not eligible. Alterations/additions must have marketability, "like" comparables, addition GLA smaller than the original home, and a structural engineer's certificate. A second manufactured home on the property is permitted only as a storage building with kitchen rendered inoperable and utilities disconnected. An engineer's certification is always required to verify PFGMH foundation compliance and must address any additions/modifications. The home and site must be converted to real estate prior to closing with proof documented.
FHA Flips	Resales ≤ 90 days are ineligible; flips must be 91+ days. A second full FHA appraisal by another appraiser is required if the resale date is between 91 and 180 days after seller acquisition and the resale price is 100%+ over the seller's acquisition price. Seasoning is determined by seller acquisition date and the earlier of final contract acceptance date or application date. All flips require a 12-month chain of title, no pattern of previous flipping or assignment of interest, and evidence the property was marketed openly and fairly. HPML loans may require a second appraisal.
HUD REO Lead-Based Paint	HUD completes a lead-based inspection on pre-1978 properties and provides a repair cost estimate. If lead-based paint is identified, HUD performs the repairs if the cost is \$4,000 or less; if greater than \$4,000, the borrower may either cancel the contract or change to 203(k) financing.
Defective Paint Surfaces	Automatic correction required for all defective paint surfaces on structures/improvements built before January 1, 1978. Repair contractors must be certified and follow lead-safe work practices; a copy of the EPA or state-lead training certificate in the name of the party who performed the work must be provided. FHA roster appraisers/inspectors or other independent third parties may inspect to verify completion of repairs (completion only — not evidence of compliance). Homeowner-made repairs require a letter stating they personally made the repair.

CREDIT	
Bankruptcy	AUS Approve: must be > 2 years since discharge at case number assignment, with re-established good credit or no new credit obligations. Manual — Chapter 7 < 2 years (but not < 12 months) may be acceptable with documented extenuating circumstances (Underwriter Manager or Team Lead approval) and demonstrated ability to manage financial affairs. Manual — Chapter 13 must document: 1 year of the pay-out period elapsed; all payments made on time; written court permission to enter the transaction.
Consumer Credit Counseling	1 year of the pay-out elapsed under the plan, satisfactory payment performance with all payments timely, and written permission from the counseling agency to enter the mortgage transaction.
Social Security Numbers	Required for all borrowers; must be validated for non-borrowing spouse or registered domestic partner in community property states.
Collections	AUS Approve/Eligible: capacity analysis required for collection accounts with aggregate balance ≥ \$2,000. Non-purchasing spouse's or registered domestic partner's collections are included in combined balances for community property states. Monthly payments must be included in DTI when cumulative balances are ≥ \$2,000. Manually underwritten loans also require documented reasoning for approval regardless of amount — the underwriter must determine whether the collection resulted from disregard for financial obligations, inability to manage debt, or extenuating circumstances; a borrower LOE with support is required for each outstanding collection.
Capacity Analysis for Collections	Outstanding collections aggregating \$2,000+: • paid in full prior to closing (verify acceptable source of funds); or • payment arrangements with the creditor (monthly payment in DTI, documentation required); or • 5% of each outstanding balance used as the monthly payment in DTI. Repossessions are treated as charge-offs unless specifically notated as sent to collections; balances reported after repossession are treated as collections with a 5% monthly payment considered.
Judgments / Liens	All outstanding judgments and liens must be paid prior to or at closing, except when the borrower has an agreement with the creditor for regular, timely payments — copy of the agreement and minimum 3 monthly scheduled payments prior to closing (includes non-purchasing spouses and registered domestic partners in community property states). Borrowers may not prepay to meet the 3-month requirement; payment is included in DTI. Manual underwrites require documented reasoning and borrower LOE with support for each outstanding judgment.
Foreclosure / Deed-in-Lieu	Must be > 3 years from date of trustee's deed or FHA claim (CAIVRS if applicable) at case # assignment. Borrowers with a prior UFF foreclosure or deed-in-lieu are not eligible.
Short Sale	Any short sale within 3 years of case assignment requires a manual underwrite. A borrower in default at the time of short sale/restructure or pre-foreclosure, or late on any mortgage or installment obligation within 12 months of the short sale, is not eligible for a new FHA-insured mortgage for 3 years from the pre-foreclosure sale date to case # assignment. Manual only: borrowers current at time of short sale must have 0x30 mortgage and installment history for the preceding 12 months. Borrowers with a prior UFF short sale are not permitted; any forgiveness on a prior UFF loan makes the borrower ineligible.
Modifications	AUS — follow findings for acceptable mortgage history. Manual — 0x30 for most recent 12 months and 2x30 for the most recent 24 months on the modified mortgage. Payment history is evaluated on the modification agreement terms and date; delinquent history prior to the agreement is forgiven. If the agreement is dated less than 12 months, all payments must be current for the month due since the modification date.
Disputed Accounts	Disputed derogatory accounts ≥ \$1,000 cumulative must be downgraded to "Refer" manual underwrite. Medical and identity/credit-card-theft accounts are excluded (creditor letter, police report, etc. required). Disputed non-derogatory accounts are excluded from the \$1,000 total, which includes zero-balance accounts, accounts with lates aged 24+ months, or disputed accounts current and paid as agreed.
FICO	Minimum of one reported credit score required for borrowers with traditional and thin-file credit. No scores for borrowers with non-traditional credit history.
Minimum Payment	If no payment is indicated, 5% for revolving charge accounts.
Student Loan Payments	Regardless of payment status, use either the payment on the credit report or the actual documented payment when the amount is above zero; or 0.5% of the outstanding loan balance when the reported monthly payment is zero.
Minimum Tradelines	Borrowers must have sufficient credit history to generate a valid FICO score or meet non-traditional guidelines. An acceptable history generally has no late housing, installment debt, or major derogatory revolving payments. Authorized-user tradelines are not acceptable for establishing credit history and may invalidate the FICO score.

CREDIT	
Non-Traditional Credit	Minimum of 3 credit references each rated for 12 months; at least 1 must be housing related. Tradelines should be open and current or not closed within 6 months prior to application. No housing lates and maximum 1x30 with other references in the previous 12 months; no major adverse or public records filed in the last 12 months. Non-traditional credit may not offset derogatory histories or enhance a borrower with derogatory pay history. All non-traditional loans require manual underwrite, max ratios 31%/43%, 1 month reserves (1-2 units) or 3 months (3-4 units), and standard FHA guidelines. Gift funds allowed for down payment and closing costs; maximum financing permitted: 96.5% LTV purchase (85% if non-arm's length), 97.75% rate/term, 80% cash-out.
Mortgage/Rental History	All cash-out refinances and manually underwritten transactions: no late payments within the last 12 months of case number assignment. Rate/term refinance and purchase: AUS Accept — follow AUS.
Non-Purchasing Spouse	Credit report required in community property states; debts added to DTI and credit history not considered. May be added to title on a purchase or remain on title when refinancing. No party other than the borrower or their spouse may have a vested interest.
Other Requirements	NSF activity, private mortgage lates, delinquent CAIVRS, LDP or GSA findings, mortgage lates not reported to the bureau, significant delinquencies after bankruptcy, and any other credit delinquencies supersede any "approved/eligible" finding.

INCOME / ASSETS	
Debt Ratio	FICO 641+ with AUS Approve/Eligible — follow AUS. FICO 640 and under must meet manual underwriting guidelines regardless of AUS decision. Manual underwrites with FICO ≥ 580 may exceed 31%/43% with acceptable compensating factors (energy efficient homes; verified/documented cash reserves; minimal increase in housing payment; no discretionary debt; significant additional income not reflected in effective income; residual income). Manual underwrites with FICO 500-579 or non-traditional credit may not exceed 31%/43% regardless of compensating factors.
Non-Taxable Income	Social Security, pension, workers comp, and disability retirement income may be grossed up.
Income	All income types must have been received for the most recent two consecutive years, including overtime, bonus, tips, second job, part-time, commission, and self-employment.
Unacceptable Sources of Income	Any unverified source; temporary or one-time income; retained earnings in a company; stock options; trailing spouse income; unverifiable income; education benefits; income from state-approved marijuana dispensary, even if W-2 wages.
Assets	Minimum cash investment from borrower's own funds and/or gift (no cash on hand when the borrower uses traditional banking and has traditional credit history). Any deposit ≥ 1% of the sales price — individually or in aggregate — must be sourced and seasoned. Atypical or multiple deposits outside regular payroll may require sourcing when funds are needed for closing or reserves.
Unacceptable Sources of Assets	Retained earnings in a company, stock options, assets from state-approved marijuana dispensary, VA education benefits (GI Bill), student loans/grant funds, employer tuition reimbursements, unsecured borrowed funds, cash on hand, welfare benefits, and Section 8 Voucher Assistance.
Debt Payoff / Paydown to Qualify	Accounts are not required to be closed. Payoff of revolving debt allowed if paid in full prior to or at closing; payoff and zero balance must be documented from credit or paid on the CD.
Gifts	Allowed. Gifts or excess gift funds are not acceptable as reserves on manual underwrites.
Documentation — 4506-C / 2907	Full income documentation loans only. All borrowers sign IRS Form 4506-C at closing; underwriting may require processed IRS transcripts prior to closing (recently filed returns, amended returns, or income inconsistencies). Puerto Rico income: sign Modelo SC 2907, return Modelo SC 2903 transcripts for 2 years translated to English and notarized by a 3rd party; the 4506-C with an IRS "no records found" confirmation (from the IRS website with borrower name and SSN) must be in the file.
Items Paid Outside Closing (POC)	Permitted for appraisal and credit report fees; document with a cancelled check or cleared debit on the bank statement plus a copy of the invoice sourcing borrower's own funds. May not be paid from a credit card. The borrower is required to have a 3.5% Minimum Required Investment (MRI), which may include POCs.
Minimum Reserves	AUS: 1-2 units none; 3-4 units 3 months PITI. Manual: 1-2 units 1 month; 3-4 units 3 months.

INCOME / ASSETS	
Non-Occupant Co-Borrower	1-unit properties only. Max mortgage limited to 75% LTV unless the non-occupying co-borrower meets the FHA definition of family member. Seller cannot be the non-occupant co-borrower. May be added to improve ratios but cannot be used to overcome derogatory credit; the arrangement may never be used to develop a portfolio of rental properties. UFF will not lend on transactions where the financial contribution and number of properties owned indicate family members acting as straw buyers. Not eligible on cash-out transactions.

TYPES OF FINANCING	
Rate/Term Refinance	Owned > 12 months: subject must be owner occupied for at least 12 months at case number assignment. Owned < 12 months: owner occupied for the entire period of ownership at case number assignment. Transactions not meeting the above are eligible provided current owner occupancy can be documented and supported, subject to 85% max LTV. For properties acquired within 12 months of case number assignment, the LTV factor is applied to the lesser of the purchase price plus documented improvements or the appraised value, except when acquired through inheritance.
Cash-Out Refinance / Seasoning	Follow HUD at 80% LTV maximum. Property must have been owned and occupied by at least one borrower as principal residence for the 12 months prior to case number assignment; properties acquired within 12 months are not eligible (see guidelines for the inherited-property exception). Borrowers with mortgage delinquencies within 12 months are not eligible. Non-occupying co-borrowers not permitted. Mortgaged properties require minimum 6 months payment seasoning and 210 days elapsed between the first payment due date of the loan being refinanced and the note date of the new loan; all mortgages on the property must meet seasoning.
Down Payment Assistance	Permitted. Requests to review DPA programs for use with UFF agency first mortgage programs may be submitted to UFF for review with the required exhibits.
Buyer Contribution	Minimum investment of 3.5% required. All down payment funds and cash to close must be documented and verified.
Seller Contribution	Max contributions limited to 6%. Contributions include (not limited to): discount, closing costs, prepaids, and up-front MIP.

GENERAL	
AUS Approval & Manual Underwriting	All loans require an AUS decision. AUS Approve/Eligible with FICO 641+ may follow AUS findings except as noted in UFF FHA underwriting guidelines and the program matrix. Regardless of findings, UFF evaluates the loan for data integrity and a sound underwriting decision. Refer/Eligible may be downgraded to manual underwrite. FICO 640 or less must meet manual underwriting guidelines regardless of AUS findings. Manual underwrites follow standard FHA guidelines; documentation waivers are not acceptable. Any ineligible findings must be adequately resolved.
Ineligible	Escrow waivers, Energy Efficient Mortgages (EEM), Mortgage Credit Certificate (MCC).
Borrower Eligibility	All borrowers must meet the eligibility criteria in UFF FHA underwriting guidelines. Ineligible: non-permanent residents; individuals convicted of previous financial crimes; borrowers with delinquent federal non-tax debt; and all non-individual legal entities (corporations, partnerships, real estate syndications, investment trusts, trusts including inter-vivos and living trusts, and LLCs).
Loan Terms Available	15-, 20-, 25-, and 30-year fixed.
Qualifying	Fixed products qualify at note rate. Minnesota: qualify at note rate.
State Specific	Texas: cash-out refinance not allowed — Texas cash-out refinances must be originated through the C30FTX program; refer to the Conventional Texas Home Equity matrix.
Temporary Interest Rate Buydowns	Purchase transactions only. Terms: 3-year (3-2-1), 2-year (2-1), and 1-year (1-0). Buydown fee must be seller-paid within the 6% interested party contribution limit; borrowers qualify at the note rate. Not permitted for refinances.
Prepayment Penalty	Not permitted.
Adjusted Value	The maximum mortgage is the lesser of the Nationwide Mortgage Limit for the area or a percentage of the Adjusted Value. Refinances: for properties acquired within 12 months of case number assignment, Adjusted Value is the lesser of the purchase price plus documented improvements or the property value. Properties acquired within 12 months by inheritance or gift from a family member may use the 12-month-plus calculation. For properties acquired 12+ months prior, Adjusted Value is the property value.
Max # of Properties	No maximum number of UFF financed properties.

GENERAL	
Subordinate / Secondary Financing	Existing: notes and deeds not required; subordination agreement always required (all FHA refinances). New: notes and deeds required, no exceptions. Refer to UFF FHA underwriting guidelines for additional requirements.